

**CITY OF MIRAMAR, FLORIDA**  
**MANAGEMENT DISCUSSION AND ANALYSIS**  
**SEPTEMBER 30, 2017**

**Other Information**

In addition to the basic financial statements and accompanying notes, this report also presents certain *required supplementary information (RSI)* concerning the City's progress in funding its obligation to provide pension and other post-employment benefits to its employees. This section also includes a comparison between the adopted and final budget and actual financial results for the City's General Fund and State Grant Fund. Budgetary comparison schedules have been provided for the General Fund and State Grant Fund to demonstrate compliance with the budget. The City also adopts an annual appropriated budget for each of its other governmental funds which are presented as supplementary information.

Combining statements referred to earlier in connection with non-major governmental funds are presented immediately following RSI.

**Government-Wide Financial Analysis**

The following schedule is a summary of the fiscal year 2017 Statement of Net Position with comparative information for fiscal year 2016:

| <b>Net Position (in thousands)</b>    |                                    |                  |                                     |                   |                   |                   |
|---------------------------------------|------------------------------------|------------------|-------------------------------------|-------------------|-------------------|-------------------|
| <b>Fiscal Years 2017 and 2016</b>     |                                    |                  |                                     |                   |                   |                   |
|                                       | <b>Governmental<br/>Activities</b> |                  | <b>Business-Type<br/>Activities</b> |                   | <b>Total</b>      |                   |
|                                       | 2017                               | 2016             | 2017                                | 2016              | 2017              | 2016              |
| Current and other assets              | \$ 126,135                         | \$ 112,340       | \$ 72,738                           | \$ 64,218         | \$ 198,873        | \$ 176,558        |
| Capital assets                        | 273,086                            | 260,001          | 291,757                             | 291,408           | 564,843           | 551,409           |
| <b>Total assets</b>                   | <b>399,221</b>                     | <b>372,341</b>   | <b>364,495</b>                      | <b>355,626</b>    | <b>763,716</b>    | <b>727,967</b>    |
| <b>Deferred outflows of resources</b> | <b>42,068</b>                      | <b>37,547</b>    | <b>4,783</b>                        | <b>3,487</b>      | <b>46,851</b>     | <b>41,034</b>     |
| Long-term liabilities outstanding     | 375,669                            | 362,086          | 81,178                              | 82,782            | 456,847           | 444,868           |
| Other liabilities                     | 30,419                             | 14,879           | 4,279                               | 2,222             | 34,698            | 17,101            |
| <b>Total liabilities</b>              | <b>406,088</b>                     | <b>376,965</b>   | <b>85,457</b>                       | <b>85,004</b>     | <b>491,545</b>    | <b>461,969</b>    |
| <b>Deferred inflows of resources</b>  | <b>17,825</b>                      | <b>10,723</b>    | <b>1,782</b>                        | <b>1,530</b>      | <b>19,607</b>     | <b>12,253</b>     |
| <b>Net Position:</b>                  |                                    |                  |                                     |                   |                   |                   |
| Net Investment in                     | 132,029                            | 127,446          | 231,706                             | 229,158           | 363,735           | 356,604           |
| Restricted                            | 16,145                             | 21,088           | 4,804                               | 4,469             | 20,949            | 25,557            |
| Unrestricted                          | (130,798)                          | (126,334)        | 45,529                              | 38,952            | (85,269)          | (87,382)          |
| <b>Total net position</b>             | <b>\$ 17,376</b>                   | <b>\$ 22,200</b> | <b>\$ 282,039</b>                   | <b>\$ 272,579</b> | <b>\$ 299,415</b> | <b>\$ 294,779</b> |

The overall net position of the City increased in fiscal year 2017, from the prior fiscal year net position, by approximately \$4.64 million or 1.57% from \$294.78 million in 2016 to \$299.42 million in 2017. Changes in net position over time can be one of the best and most useful indicators of financial health. When comparing the change between years there is an increase of \$1.69 million as compared to the prior year increase of \$2.95 million. This change in net position is the result of increased revenues of \$18.76 million less increased expenditures of \$17.07 million.

**CITY OF MIRAMAR, FLORIDA**  
**MANAGEMENT DISCUSSION AND ANALYSIS**  
**SEPTEMBER 30, 2017**

**Governmental Funds (Continued)**

**Major Fund Information**

**General Fund, State Grant Fund:**

|                                     |    |           |
|-------------------------------------|----|-----------|
| Fiscal Year 2017                    |    |           |
| Revenues                            | \$ | 144,944   |
| Expenditures                        |    | (144,917) |
| Other financing sources             |    | (1,973)   |
| Increase (decrease) in fund balance | \$ | (1,946)   |

**General Fund, CIP Bonds 2013 Fund, and Debt Service Fund:**

|                                     |    |           |
|-------------------------------------|----|-----------|
| Fiscal Year 2016                    |    |           |
| Revenues                            | \$ | 132,107   |
| Expenditures                        |    | (145,457) |
| Other financing sources             |    | 4,458     |
| Increase (decrease) in fund balance | \$ | (8,892)   |

The General Fund is the chief operating fund of the City. Additionally, in fiscal year 2017, the State Grant fund, a special revenue fund established to account for revenues and expenditures associated with funding from State agencies, is reported as a major fund. At the end of the current fiscal year, unassigned fund balance of the General Fund was \$10.68 million, or 29.6% of the total fund balance of \$36.07 million. As a measure of the General Fund's liquidity, it may be useful to compare both unassigned fund balance and total fund balance to the total General Fund expenditures. In 2017, unassigned fund balance represents approximately 7.5% and the total fund balance represents approximately 25.3% of the total General Fund expenditures. In comparison, in 2016, the unassigned fund balance was 9.9% and the total fund balance was 31.2% of the total General Fund expenditures.

The fund balance of the General Fund decreased by \$1.94 million during the current fiscal year. This represents an overall decrease of \$10.71 million as compared with the prior year's increase to fund balance. Revenues increased approximately \$10.43 million from the prior year. This increase is primarily due to an increase in tax revenues of \$4.98 million, special assessments of \$1.43 million, licenses and permits of \$1.87 million, charges for services of \$1.64 million and intergovernmental revenues of \$.45 million. Ad-valorem taxes represent \$4.49 million of the \$4.98 million increase in tax revenues. Licenses and permit revenues increased primarily due to an increase in collections for local business taxes as well as an increase in building and engineering permits due to increased development activity during the year. The fire protection assessment was increased in fiscal year 2017 to fully fund the provision of fire protection services and provide funding for future capital needs. This is reflected in the \$1.43 million increase in special assessment revenue in the current year.

General Fund expenditures increased \$20.9 million. Approximately \$7.58 million of the increase is attributable to public safety. Operational costs for public safety increased in fiscal year 2017 due to overtime and benefits associated with the response to Hurricane Irma in combination with the funding of additional firefighter-paramedic and police officer positions and support staff. In fiscal year 2017, construction and facilities management operations were transferred to the General Fund. Previously, these operations were included with Utilities. This transfer of operations is reflected in the \$2.04 million increase under the function physical environment. Parks and recreation expenditures increased \$2.04 million. This increase is primarily due to park upgrades, additional staffing needs, special events, and the Amphitheater at Miramar Regional Park operations. General government expenditures increased \$4.91 million. Debris removal costs of \$2.11 million for Hurricane Irma are included in the \$4.91 million increase.

**CITY OF MIRAMAR, FLORIDA**  
**NOTES TO BASIC FINANCIAL STATEMENTS**  
**SEPTEMBER 30, 2017**

**NOTE 9. LONG-TERM OBLIGATIONS (Continued)**

Annual minimum lease payments and the present value of minimum lease payments follows:

| <u>Fiscal Year Ended</u>                | <u>Governmental<br/>Activities</u> |
|-----------------------------------------|------------------------------------|
| 2018                                    | \$ 1,033,281                       |
| 2019                                    | 1,023,410                          |
| 2020                                    | 969,625                            |
| 2021                                    | 940,010                            |
| 2022                                    | 940,009                            |
| 2023-2024                               | <u>786,005</u>                     |
| Total minimum lease payments            | 5,692,340                          |
| Less amount representing interest       | <u>(254,766)</u>                   |
| Present value of minimum lease payments | <u>\$ 5,437,574</u>                |

The net book value of assets acquired through capital leases as of September 30, 2017, follows:

|                               |                    |
|-------------------------------|--------------------|
| Assets:                       |                    |
| Equipment                     | \$5,935,009        |
| Less accumulated depreciation | <u>(236,725)</u>   |
| Total net book value          | <u>\$5,698,284</u> |